GMS WEEKLY

Your Source for Recycling News

December 9th, 2022
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Week 49

Highlights:

- **Positivity.**
- **Several sales.**
- **Bangla struggles.**
- **India emerging.**
- **More busy?**
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QUOTE of the WEEK

"The bad news is time flies. The good news is you're the pilot."

– Michael Altshuler

MARKET COMMENTARY

TESTING THE WATERS!

After the last few weeks of insufferable performances from the major recycling markets, a shade of positivity was observed this week, as Owners seem more confident in testing the waters and welcoming firm offers, especially those that are above USD 500/LDT.

On the back of this seemingly positive note, one or two market sales of note even materialized this week and it does seem as though prices have bottomed out and sentiments have flatlined after losing a rather rattling USD 200/LDT, seen from the peaks witnessed earlier this year.

Bangladesh continues to struggle with L/C financing limits, but the IMF loan is reportedly in the works of being approved and with most yards currently lying empty, we expect demand and consequently prices to come back, especially once some liquidity is injected back into the domestic market.

Pakistan remains utterly tentative on new purchases, so significant have the falls been so far this year on both the currency and steel prices.

On the West End, Turkey remains buoyant at its terrible lows, with marginal (at best) improvements in fundamentals being the only news emanating from this market anymore.

As such, the market of the moment continues to be India and despite a few of HKC units also working, nearly all Cash Buyer 'as is' sales are being presently finalized with an Alang resale in mind.

It still remains a mystery whether it may be a slightly busier end to the year than many had been anticipating, especially with further sales likely to take place to a more settled and confident Indian sub-continent recycling market.

Once the currency situation starts to stabilize in Pakistan and funds start to become more readily available in Bangladesh, then we really could see prices push on.

For week 49 of 2022, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	India	Weak	520 / LDT	530 / LDT	540 / LDT
2	Pakistan	Weak	510 / LDT	520 / LDT	530 / LDT
3	Bangladesh	Weak	500 / LDT*	510 / LDT*	520 / LDT*
4	Turkey	Weak	240 / LDT	250 / LDT	260 / LDT

**Subject L/C approval*

BANGLADESH

WISHING ON A LOAN!

Frustrated.

Frustrations abound in Bangladesh at present due to a lack of financing and a growing demand whilst many plots lie essentially dormant, following a completely inert previous six months of the year.

The usually fevered buying we have become accustomed to in Chattogram has completely subsided on the back of Central Bank limits prohibiting even USD 1 million purchases these days.

Seeking funding.

The currency and steel plate also continue to toy with the local psyche as the Taka bounced around a record 104 against the U.S. Dollar and steel plates fell about USD 8/Ton this week.

As such, if the increasingly anticipated IMF loan comes, it will be a major input of funding that will transform the presently dull and lifeless Bangladeshi ship recycling market.

NO MARKET SALES REPORTED

INDIA

BACK TO BUYING!

India remains the most stable market for another week, as a handful of sales start to take place after a mostly bleak summer / monsoon (and perhaps year overall) that has seen record low ships head to Alang.

Record low arrivals.

Of course, prices have fallen significantly since the market witnessed levels in excess of USD 700 / LDT seen earlier this year, but some signs of stability and a floor being reached are encouraging end Buyers to finally dip back into the buying again.

One smaller, decent sized container unit was committed this week as the SSL CHENNAI (4,039 LDT) managed to fetch a firm USD 560/LT LDT 'as is' Colombo, indicating a price in the region of USD 585/LT LDT in India needs to be considered once delivery costs are accounted for.

Small container sold.

Overall, fundamentals too (though volatile) seemed to be less shaky this week as the Rupee continues to buoy around the mid Rs. 82 against the U.S. Dollar and steel plate prices, though declining towards mid-week actually firmed by about USD 5/Ton by the time the week ended.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
SSL CHENNAI	Container	4,039	USD 560/LT LDT ('as is' Colombo)

PAKISTAN

YET TO SETTLE!

Frustrated attempts.

Gadani continues to be frustrated in their attempts to purchase fresh tonnage, especially against the more confident and settled Indian market that is trumping them for a majority of the (marginal) number of vessels being introduced for recycling.

Mostly lowball / unworkable levels and even terms are emanating from Pakistan – showing the current mindset of a market that is still in a state of turmoil and confusion and with good reason.

Stasis.

The Pakistani Rupee continues to gradually weaken by the week as it treads past PKR 224 and steel plate prices essentially flatlined through the week.

As such, it is hardly surprising that Pakistan is still in such a state of stasis, as the ongoing political instability and dithering fundamentals in the country display very few signs of a sustained stability on the horizon.

NO MARKET SALES REPORTED

TURKEY

DRIFTING!

Turkey continues to drift through the year, with no noteworthy activity to report since Aliaga Buyers broke all price records (in memory) when offers close to USD 500/MT were seen earlier in the year.

USD 500/MT

Regrettably, the short-lived spike in prices has vanished just as quickly, losing over half the value of recycling units that will head to Aliaga shores at present. As it stands, market units are virtually non-existent and even the occasional rumour of a private sale or small LDT unit arriving Aliaga anchorage have all but disappeared.

EUSRR requirements, domestic fundamentals, and a resulting vessel price have all colluded to make any market sale into Turkey an irrational competition against the Indian sub-continent.

Collusion.

On the fundamentals front, even though steel plate prices have marginally improved by about USD 10/MT this week, the Lira continues to degrade into the high TRY 18.6 against the U.S. Dollar – certainly a record low.

As such, Aliaga recyclers seem to be drifting through time, waiting for fundamentals and prices to improve so that the market can at least get to a competitive enough level where the voyage to the sub-continent makes less sense than delivering into Turkey.

NO MARKET SALES REPORTED

INTERESTING FACTS

- *Pregnancy tests date back to 1350 B.C.E. According to a document written on ancient papyrus, Egyptian women urinated on wheat and barley seeds to determine if they were pregnant or not, reports the Office of History in the National Institutes of Health. If wheat grew, it predicted a female baby. If barley grew, it predicted a male baby. The woman was not pregnant if nothing grew. Experimenting with this seed theory in 1963 proved it was accurate 70 percent of the time.*
- *Martin Luther King Jr. got a C in public speaking. The world remembers Dr. King as a leader of the Civil Rights Movement, and people often quote his "I Have a Dream" speech, which he delivered in 1963. Yet more than a decade before that legendary speech, while attending Crozer Theological Seminary in Pennsylvania, he earned a C in public speaking during his first and second term.*
- *Bees can make colored honey. In France, there's a biogas plant that manages waste from a Mars chocolate factory, where M&Ms are made. Beekeepers nearby noticed that their bees were making "unnatural shades of green and blue" honey. A spokesperson from the British Beekeepers' Association theorized that the bees eating the sugary M&M waste caused the colored honey.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
December 25 – Christmas	December 05 – December 13 December 2- December 29

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
December 16 - Victory Day December 25 – Christmas December 31 – Bank Holiday	December 06 – December 09 December 23 – December 26

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays in December	December 25 – Quaid-e-Azam Day	**No holidays in December**

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ALANG - Port Position as of December 09, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Dora*	*12,615*	*Oil Tanker*	*Beached December 08*
2	Lobster	3,136	Fishing Vessel	Arrived December 09
3	Marshal Novikov	3,905	Fishing Vessel	Arrived December 06
4	Unter	3,918	Fishing Vessel	Arrived December 09
Total Tonnage		**23,574**		

CHATTOGRAM - Port Position as of December 09, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	**Ariana**	**15,672**	**Tanker**	**Arrived June 22**
2	Bosfor	780	Tanker	Arrived December 07
3	**Gala**	**16,885**	**Tanker**	**Arrived February 28**
4	*Shun Fu*	*10,672*	*Bulk Carrier*	*Beached December 09*
5	*Viva*	*3,065*	*Tanker*	*Beached December 06*
6	**Winton T128**	**975**	**Bulk Carrier**	**Arrived June 23**
Total Tonnage		**48,049**		

GADANI - Port Position as of December 09, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Changi	9,824	Bulk Carrier	Arrived December 01
Total Tonnage		**9,824**		

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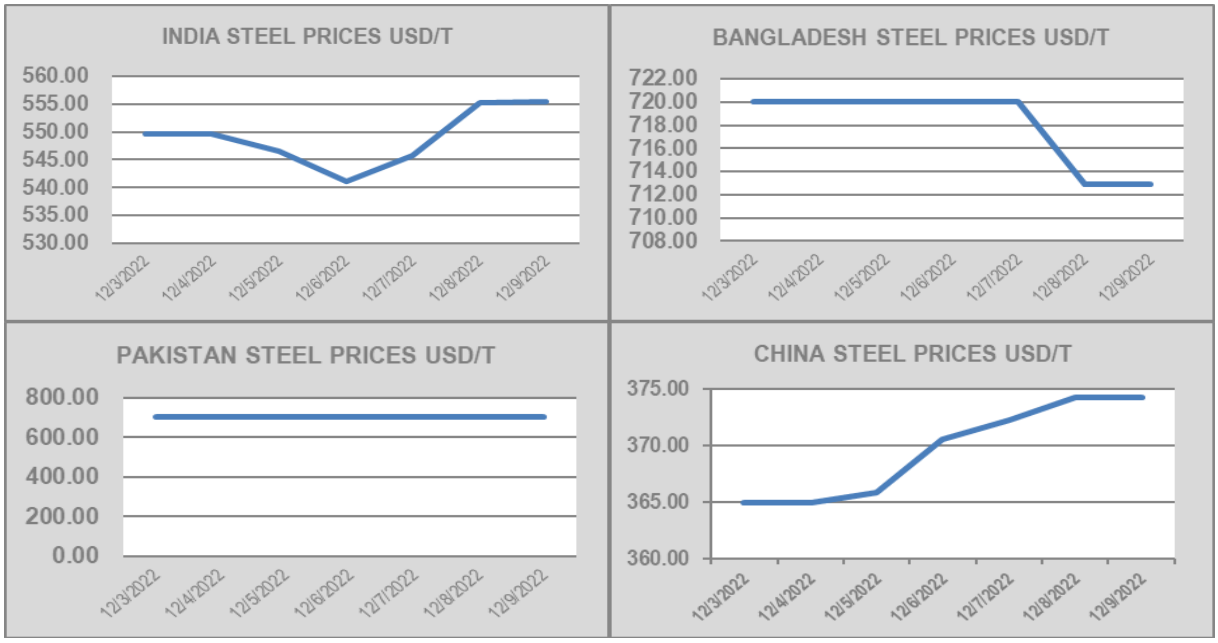
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
12/3/2022	549.68	44,700.00	704.10	158,000.00	720.00	72,000.00	365.03
12/4/2022	549.68	44,700.00	704.10	158,000.00	720.00	72,000.00	365.03
12/5/2022	546.52	44,700.00	704.10	158,000.00	720.00	72,000.00	365.85
12/6/2022	541.03	44,700.00	704.10	158,000.00	720.00	72,000.00	370.63
12/7/2022	545.65	45,000.00	704.10	158,000.00	720.00	72,000.00	372.28
12/8/2022	555.29	45,700.00	704.10	158,000.00	712.87	72,000.00	374.25
12/9/2022	555.49	45,700.00	704.10	158,000.00	712.87	72,000.00	374.25



www.gmsinc.net
GMS_Leadership
GMS, Inc.
snp@gmsinc.net

Athens, Greece Tel: +30.210.899.0669
Cumberland, USA Tel: +1.301.759.9240
Hamburg, Germany Tel: +49.40. 3197.9963
Shanghai, China Tel: +86.216.075.1900
Singapore Tel: +65.6823.8037
Bhavnagar, India Tel: +91.278.300.5253
Dubai, UAE Tel: +971.4.423.0720
New York, USA: +1.240.505.9716
Seoul, South Korea Tel: +82.10.4650.0720
Tokyo, Japan Tel: +81.3.5453.6311